



SASINI LIMITED
SASINI HOUSE, LOITA STREET,P.O BOX 30151-00100, NAIROBI
(A Member of The Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE TEN MONTHS ENDED 31 JULY 2015 (Unaudited)

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Group		Company	
	31.07.2015 Ksh '000	31.07.2014 Ksh '000	31.07.2015 Ksh '000	31.07.2014 Ksh '000
Revenue	1,882,930	2,088,270	435,431	401,824
Gains/(Losses) arising from changes in fair value of biological assets less cost to sell	(98,503)	(12,334)	75,068	49,110
Other Income	874,448			
Results from operating activities	789,373	69,481	112,548	125,111
Finance income	56,973	11,641	26,030	8,093
Finance cost	(12,322)	(4,664)	(11,435)	(4,664)
Profit before tax	834,023	76,457	127,143	128,540
Tax expense	(279,758)	(22,937)	(38,143)	(38,562)
Profit for the year	554,265	53,520	89,000	89,978
Profit attributable to:				
Non-controlling interest.	95,196	5,095	0	0
Owners of parent	459,069	48,425	89,000	89,978
	554,265	53,520	89,000	89,978
Profit / (losses) arising from operating activities.	649,389	65,344	36,453	55,601
Gains arising from changes in fair value in biological assets after tax.	(190,320)	(16,919)	52,547	34,377
	459,069	48,425	89,000	89,978
Earning per share (Kshs) on operating activities	2.85	0.29	0.16	0.24
Earning per share (Kshs) on biological assets	(0.83)	(0.07)	0.23	0.15
Earning per share (Kshs)	2.01	0.21	0.39	0.39
Issued and fully paid shares of Kshs 1 each	228,055	228,055	228,055	228,055

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2014	228,055	98,530	7,337,072	17,954	2,769,893	1,370,695	57,014	241,755	12,120,968
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	459,069	-	95,196	554,264
Appropriation of gains on biological assets	-	-	-	-	(190,320)	190,320	-	-	-
Excess depreciation on revaluation	-	-	-	-	-	-	-	-	-
Deferred tax on revaluation	-	-	-	-	-	-	-	-	-
Total comprehensive income for the period	228,055	98,530	7,337,072	17,954	2,579,573	2,020,084	57,014	336,951	12,675,232
Transactions with owners of the company recorded directly in equity									
Total distribution to owners of the company	-	-	-	-	-	-	(57,014)	-	(57,014)
At 31 July 2015	228,055	98,530	7,337,072	17,954	2,579,573	2,020,084	-	336,951	12,618,218

COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2014	228,055	40,594	5,508,889	1,714	1,247,109	342,820	57,014	-	7,426,195
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	89,000	-	-	89,000
Appropriation of gains on biological assets	-	-	-	-	52,547	(52,547)	-	-	-
Excess depreciation on revaluation	-	-	(7,620)	-	-	7,620	-	-	-
Deferred tax on revaluation	-	-	2,286	-	-	-	-	-	2,286
Total comprehensive income for the period	228,055	40,594	5,503,555	1,714	1,299,656	386,893	57,014	-	7,517,481
Transactions with owners of the company recorded directly in equity									
Final dividend for 2014 paid	-	-	-	-	-	-	(57,014)	-	(57,014)
Total distribution to owners of the company	-	-	-	-	-	-	(57,014)	-	(57,014)
At 31 July 2015	228,055	40,594	5,503,555	1,714	1,299,656	386,893	-	-	7,460,467

CONSOLIDATED STATEMENT OF FINANCIAL POSITION.

	Group		Company	
	31.07.2015 Ksh '000	30.09.2014 Ksh '000	31.07.2015 Ksh '000	30.09.2014 Ksh '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	8,208,093	8,362,361	5,767,716	5,812,692
Capital Work-in-progress	-	29,678	-	-
Intangible Assets	8,701	8,210	6,821	6,330
Biological Assets	5,014,983	5,240,576	1,987,387	1,942,322
Prepaid leases - leasehold land	11,257	20,074	458	7,760
Investments in Subsidiary Companies	-	-	172,697	172,697
Available-for-sale financial assets	531	525	-	-
Deferred tax asset	12,073	23,070	(14,439)	-
	13,255,639	13,684,494	7,920,639	7,941,801
CURRENT ASSETS				
Inventories	377,799	318,063	131,586	78,192
Trade and Other receivables	676,773	582,494	261,127	292,425
Amount due from related companies	-	1,198	-	251,535
Tax recoverable	-	17,463	-	-
Cash and Bank balances	1,100,757	325,865	206,305	144,813
	2,155,329	1,245,083	599,018	766,965
TOTAL ASSETS	15,410,969	14,929,577	8,519,657	8,708,766
EQUITY AND LIABILITIES				
Capital and reserves				
Share Capital	228,055	228,055	228,055	228,055
Non - Distributable Reserves	10,033,129	10,223,449	6,845,520	6,798,306
Distributable Reserves	2,020,084	1,427,709	386,893	399,834
	12,281,267	11,879,213	7,460,468	7,426,195
Non controlling Interest	336,951	241,755	-	-
Total equity	12,618,218	12,120,968	7,460,468	7,426,195
Non- current liabilities				
Deferred tax liability	1,706,541	2,003,249	635,959	638,246
Post employment benefits	298,182	270,520	23,201	21,094
	2,004,723	2,273,769	659,161	659,340
Current liabilities				
Bank loan	(12,539)	-	(12,539)	-
Post employment benefits	-	10,373	-	-
Amounts due to related companies	-	681	239,415	357,805
Trade and Other Payables	613,806	522,368	196,026	264,008
Tax payable	186,761	1,418	(22,871)	1,418
	788,028	534,840	400,030	623,231
TOTAL EQUITY AND LIABILITIES	15,410,969	14,929,577	8,519,657	8,708,766
CONSOLIDATED CASHFLOW STATEMENT				
OPERATING ACTIVITIES				
Cash Flow Generated from Operations	(131,440)	324,180	155,031	169,537
Tax Paid	(91,681)	(9,022)	(51,035)	(5,387)
Net cash flows (used in) generated from operating activities	(223,122)	315,158	103,996	164,150
INVESTING ACTIVITIES				
Purchase of Property, plant and equipment	2,557	(66,753)	19,116	(17,685)
Purchase of Intangible Assets	-	(8,175)	-	(6,458)
Capital Work in progress	-	10,256	-	-
Interest received	38,523	1,621	16,053	423
Proceeds on sale of property, plant and equipment	1,027,736	905	-	905
Net cash flow used in investing activities	1,068,816	(62,146)	35,169	(22,815)
FINANCING ACTIVITIES				
Interest paid	(11,435)	(12,984)	(11,435)	(12,933)
Proceeds from bank loans	181,234	-	181,234	-
Loans repayments	(193,773)	(175,491)	(193,773)	(175,491)
Dividend paid on ordinary shares	(57,014)	-	(57,014)	-
Net cash flow used in financing activities	(80,989)	(188,475)	(80,989)	(188,424)
Net (Decrease) /Increase in Cash and cash equivalents	764,705	64,537	58,176	(47,089)
Cash and cash equivalents at the beginning of the period	325,865	275,364	144,813	203,695
Net foreign exchange rate gains /(losses)	10,186	(14,036)	3,315	(11,793)
Cash and cash equivalents at the end of the period	1,100,757	325,865	206,305	144,813

COMMENTS ON THE RESULTS (UNAUDITED) FOR THE TEN MONTHS PERIOD ENDED 31ST JULY, 2015

The results for the ten month period ended 31st July, 2015 indicate an increase in profitability in operating activities and restructuring of non performing assets to a profit after tax of Kshs.649.4 million compared to a profit of Kshs.65.3 million in the same period in the previous year.

The year under review has been characterised by a biting drought that severely affected the operations of the company in the first half of the financial year of the company and continued into the third quarter. The production volumes in both tea and coffee divisions dropped considerably. The improvement in the tea price in the second half has contributed to the recovery in profitability. The coffee price however dipped in this half due to the lower quality of the coffee produced after the drought.

During the period, the restructuring of non-performing assets reported in our accounts of 2013-2014 financial year, which included the sale of Wahenya Estate and part of Mweiga Estate was completed, both of these parcels of land have been persistently loss making for six years running. This sale was part of Management strategy to unlock these funds for investment in more productive divisions of the Company. Successful disposal of these assets in the second half yielded considerable contribution to the bottom line.

The loss from changes in the valuation of biological assets for the period was driven mainly by the considerable loss of production volumes in tea and mitigated by the gains from the higher realization in tea prices. The low realizations in coffee prices have also affected this valuation.

Dividend

In view of the above performance, the Board has declared the payment of an interim dividend of Kshs 1.00 per share (Kshs 228.055 million) (2014: Kshs 57.1 million) payable less withholding tax, where applicable on or about 15th September, 2015 to Members on the register at close of business on 31st August, 2015.

The Company's register will remain closed for one day on 31st August, 2015.



Savanna The Coffee Lounge now open at:-
- Sasini House, Loita Street
- Upper Hill next to General Accident House
- United Nation Recreation Centre, Gigiri
- Sameer Business Park

By order of the Board
Moses Kiplagat Changwony, MBS
Group Managing Director
10th August, 2015